Table 2.6 Total Outlay Method

Price	Quantity Demanded	Total Outlay	Elasticity
150	3	450	e > 1
125	4	500	e = 1
100	5	500	e <1
75	6	450	

Where there is inverse relation between Price and Total Outlay, demand is elastic. Direct relation means inelastic. Elasticity is unity when Total Outlay is constant.

3. Point or Geometrical Elasticity

When the demand curve is a straight line, it is said to be linear. Graphically, the point elasticity of a linear demand curve is shown by the ratio of the segments of the line to the right and to the left of the particular point.

$$\text{Point Elasticity} = \frac{\text{Lower segment of the demand curve below the given point}}{\text{Upper segment of the demand curve above the given point}}$$

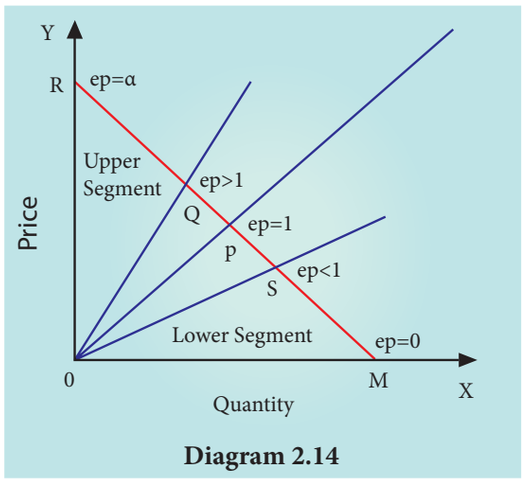


Diagram 2.14

$$e_p = \frac{L}{U} = \frac{\text{lower segment}}{\text{upper segment}}$$

Where 'e_p' stands for point elasticity, 'L' stands for the lower segment and 'U' for the upper segment.

2.9.5 Importance of Elasticity of Demand

The concept of elasticity of demand is of much practical importance.

1. **Price fixation:** Each seller under monopoly and imperfect competition has to take into account elasticity of demand while fixing the price for his product. If the demand for the product is inelastic, he can fix a higher price.
2. **Production:** Producers generally decide their production level on the basis of demand for the product.
3. **Distribution:** Elasticity of demand also helps in the determination of rewards for factors of production.
4. **International trade**: Elasticity of demand helps in finding out the terms of trade between two countries. Terms of trade depends upon the elasticity of demand for the goods of the two countries.
5. **Public finance:** Elasticity of demand helps the government in formulating tax policies. For example, for imposing tax on a commodity.
6. **Nationalization:** The concept of elasticity of demand enables the government to decide over nationalization of industries.

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